

WHAT BANKS WANT

- 1** A robust securitisation market where debt is bought and sold efficiently and along with debt, a bank can also sell collections to other agencies
- 2** An active credit bureau, which profiles borrowers across-the-board and not just customers
- 3** Fast track courts like the Lok Adalats, which can effectively deal with delinquent borrowers
- 4** Regulation of NBFCs so that they do not charge exorbitant interest rates, which make repayment much more difficult for borrowers



"Banks would be responsible for all acts of omission and commission of their agents."

P. CHIDAMBARAM, FINANCE MINISTER

lief that their one delayed payment will not attract the wrath of the goons, the industry feels it is nearly handicapped, as the regulations will take away their only effective mode of recovering dues. Banks too rue that customers queue up at their doorstep insisting that their dues be "settled" significantly below the principal amount. However, this is still an exception and not the rule in the industry. Banks claim that of the 50 million borrowers, 80 per cent repay on time. Of the remaining 20 per cent, almost half pay up on being reminded once. The remaining five million are those who have outstandings of over 90 days and are thus declared as delinquent or "willful" defaulters. Many borrowers in this category now threaten banks with media pressure to settle the dues at significantly lower sums. Says Dipak Gupta, CEO of Kotak Mahindra



Illustration by SAURABH SINGH

numbers. RBI may also consider imposing a ban on a bank from engaging recovery agents in a particular area, either jurisdictional or functional, for a limited period. Comments Sanju Fernandes, senior vice-president and head of Consumer Credit Risk, HSBC India: "This will help provide a transparent approach on this sensitive issue."

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Bank: "Customers will now threaten banks." Bankers believe the low-income segment in each loan category has the highest number of delinquents as these customers over-leverage and even borrow from multiple agencies. And it's this segment which is using every trick in the trade not to repay. However, non-performing assets (NPAs) of scheduled commercial banks had come down to 1.9 per cent of their total assets on March 31, 2006, from 2.5 per cent a year ago. The default rate is up to 1-1.5 per cent in home loans, and of 2-3 per cent in the auto loans segment. Contrary to perception, agents are not sent by banks immediately after a consumer skips one EMI. On non-payment of the first EMI, a bank first calls and reminds a customer. After 30 days of non-payment, a dunning letter is sent out to him and, after 60 days, a second letter is despatched. By this time, the bank raises the red flag on the customer. "Most banks hand over the collections to an agency only after 90 days of outstanding," explains H.N. Sinor,

STRONG ARM-TACTICS

Banks and other formal lending agencies don't take recourse to the legal system, but use recovery agents to exert pressure on borrowers to recover dues

RBI CRACKS THE WHIP

After noticing some high-profile cases, the central bank issued guidelines on recovery agents and the ways and means they can adopt to collect dues

WILLFUL DEFAULTS

Taking advantage of RBI guidelines, customers tend to dodge banks to be able to "settle" dues at lower rates. Hence, defaults are on the rise.